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STAFF REPORT

Date: **February 26, 2026**

To: School Board

From: Paul Williams, Senior Manager, Purchasing & Contracting

Subject: Updates to Public Contracting Rules

BACKGROUND

In 2010, Portland Public Schools developed and adopted a substantial and comprehensive revision to its Public Contracting Rules. These rules were updated in 2012, 2016, 2019, and 2024 to reflect legislative changes to the state Public Contracting Code (ORS Chapter 279A, 279B, and 279C) and revisions to the Attorney General's Model Public Contracting Rules ("Model Rules").

In late 2023, staff introduced a significant update to the District's 2019 Public Contracting Rules to reflect 2023 legislative changes to the Public Contracting Code as well as improve internal alignment, efficiency, and effectiveness. The Policy Committee forwarded most of the Rules updates and revisions to the full Board, which approved them in February 2024. However, the Policy Committee deferred consideration of a few of the proposed updates and recommended that these updates be brought back for consideration at a later time. Two of those remaining proposed updates were discussed at the Policy Committee's February 23, 2026 meeting. The Policy Committee referred the amendments to the full Board for a first reading.

ANALYSIS OF SITUATION

The proposed amendments to the Public Contracting rules before the Board are as follows:

1. Remove Duplicative Amendment Reporting Requirement (PPS 47-0800(4), 48-0320(5)), 49-0910(5))

In 2019, the Board amended the PPS Public Contracting Rules to require staff to report contracts for goods and services, construction, and design where (a) the original contract price exceeded $500,000, (b) amendments caused the new contract price to exceed 125% of the original contract price, and (c) the amendments were not explicitly contemplated in a formal solicitation process and resulting contract (as in the case, for example, of a Request for Proposals for a contract for one year with options to renew for up to five additional years).[1] *See* Redlined Public Contracting Rules at page 96, page 125, and pages 184-185.

[1] Note that this Rules amendment did not align with statute or the Attorney General's Model rules.

The Purchasing & Contracting department already requires contract amendments that exceed 125% of the Board's prior approval to be presented to the Board again for additional approval. The result is that, as a practical matter, the reports are duplicative because the Board has already seen and approved any amendment that exceed 125% of the original contract value.

Staff recommend removing the indicated language to remedy this duplicative and arguably meaningless post-approval amendment reporting requirement.

2. Bring Offer of Judgment Rule (PPS 45-0200(6)) into Alignment with Board Policy on Liability Claims

In an existing rule (PPS 45-0200(4)(b)(F)), the Board has delegated authority to the Superintendent or designee to make an offer of judgment in the course of litigation when the Superintendent and general counsel determine that such offer is in the best interests of the District. *See* Redlined Public Contracting Rules at pages 9-10. However, PPS 45-0200(6) requires that the general counsel draft a privileged memo to the Board explaining the legal basis for the offer of judgment if such offer exceeds $25,000. Staff recommend conforming this rule to the Superintendent's settlement authority in Board Policy 8.60.21-P ($75,000).

FISCAL IMPACT

None

BOARD OPTIONS WITH ANALYSIS

If the Board adopts the proposed amendments to the Public Contracting Rules, (a) amendments that cause a contract to exceed 125% of the Board's maximum prior approval will continue to be placed on the Board's consent agenda before signature and will not require a further report to the Board after signature, and (b) when an offer of judgment is made in the course of litigation that exceeds the Superintendent's settlement authority of $75,000, the General Counsel's office will draft a privileged memo to the Board explaining the legal basis for the offer of judgment.

STAFF RECOMMENDATION

Staff recommend that the Board approve the proposed updates to the Public Contracting Rules.

ATTACHMENTS

A. Redline of 2024 Public Contracting Rules